

ECONOMIC SURVEY 2025-26



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Economic Survey

- ⇒ The Economic Survey provides a summary of the performance of the Indian economy, government policies, and the outlook for the upcoming financial year.
- ⇒ First Economic Survey of India: 1950-51. It was initially presented along with the Union Budget until 1964.
- ⇒ Now, it is presented one day or a few days before the presentation of the budget.
- ⇒ Preparation Process: Prepared by the Economic Division of the Department of Economic Affairs in the Finance Ministry. Guided by the Chief Economic Adviser of India

STATE OF THE ECONOMY

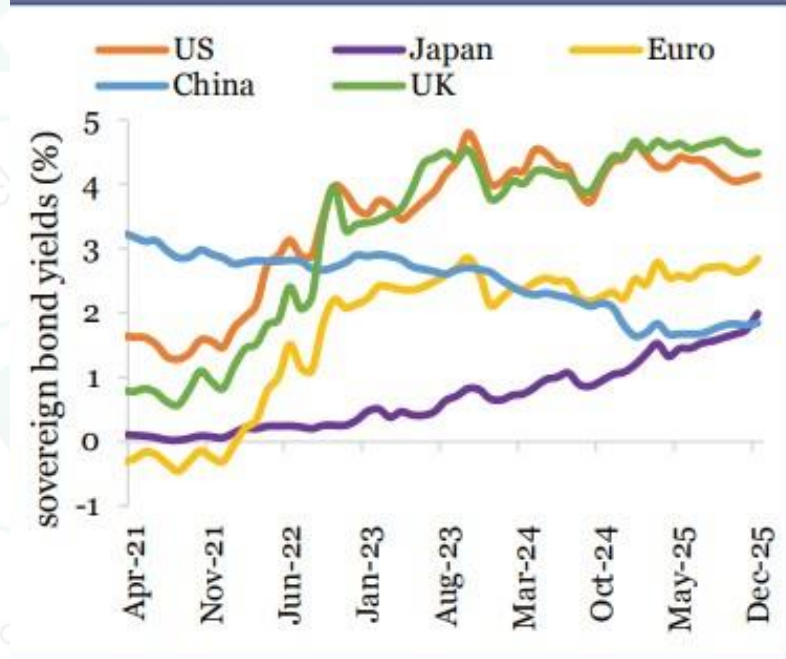
- ⇒ The Paradox of 2025: India witnessed its strongest macroeconomic performance in decades (7%+ growth), yet faced a global system that no longer rewards such success with stability (currency volatility, capital outflows).
- ⇒ Strategic Shift: India must move from Strategic Resilience (absorbing shocks) to Strategic Indispensability (becoming essential to the world).
- ⇒ Policy Stance for 2026: "Strategic Sobriety." India must "run a marathon and sprint simultaneously" (build long-term assets while managing short-term shocks).



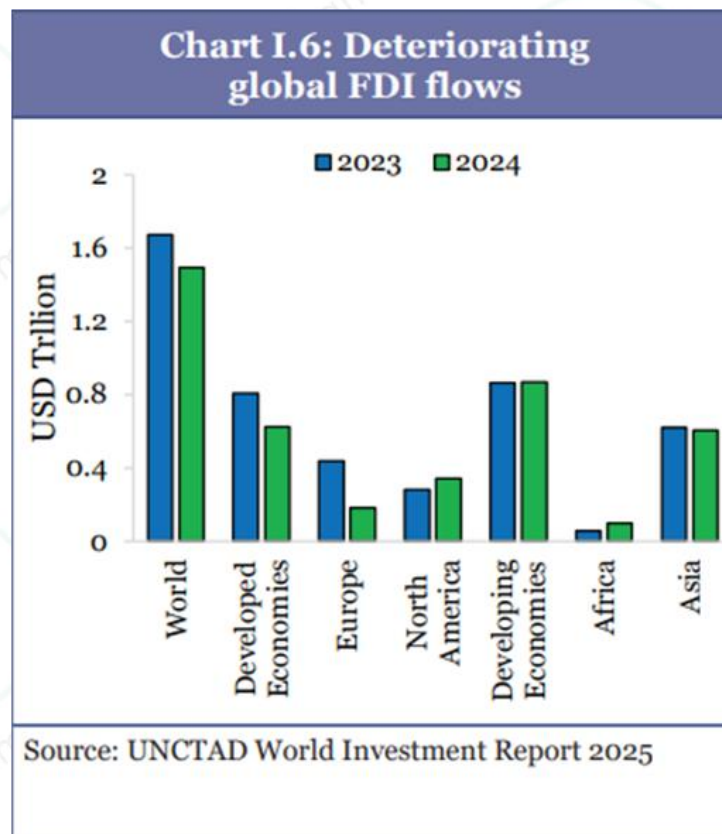
Table I.1: Revisions in IMF's global growth and inflation projections vis-a-vis Jan' 25 forecasts

Growth outlook stabilises after Apr '25 downward revisions									
Growth forecasts – 2025 (percent)					Growth forecasts – 2026 (percent)				
	Jan '25	Apr '25	Oct '25	Jan '26		Jan '25	Apr '25	Oct '25	Jan '26
AE	1.9	1.4	1.6	1.7	AE	1.8	1.5	1.6	1.8
EMDE	4.2	3.7	4.2	4.4	EMDE	4.3	3.9	4.0	4.2
Global	3.3	2.8	3.2	3.3	Global	3.3	3	3.1	3.3
Growth: Green = upward revision, Red = downward revision									
Inflation expected to remain stubborn in AEs									
Inflation forecasts – 2025 (percent)					Inflation forecasts – 2026 (percent)				
	Jan '25	Apr '25	Oct '25	Jan '26		Jan '25	Apr '25	Oct '25	Jan '26
AE	2.1	2.5	2.5	2.5	AE	2.0	2.2	2.2	2.2
EMDE	5.6	5.5	5.3	5.2	EMDE	4.5	4.6	4.7	4.8
Global	4.2	4.3	4.2	4.1	Global	3.5	3.6	3.7	3.8
Inflation: Green = downward revision, Red = upward revision									
Source: IMF World Economic Outlook (WEO) Jan 2025 to Jan 2026									
Note: The colour coding is based on deviation from the Jan 2025 forecasts.									

Chart I.4: Sovereign 10Y bond yields of major economies remain elevated



- Amidst ongoing weaknesses in growth and inflation, fiscal policies in major economies stay expansionary.
- Long-term borrowing costs for the world's biggest economies have stayed elevated as investors question the ability of governments to cover massive budget deficits.
- The global economy has entered a phase in which geopolitical considerations exert a much stronger influence than they did in the 2010s.
- Rapidly evolving country alignments and supply chains, as well as technological developments, necessitate supplementing traditional economic assessments with a geopolitical perspective.



Economic statecraft:

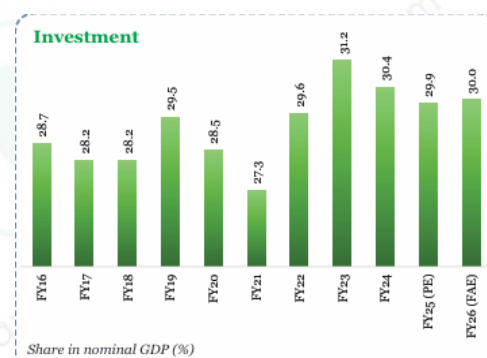
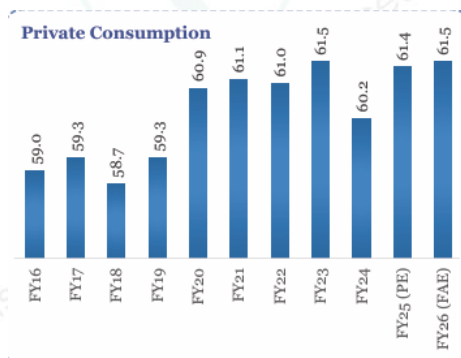
- deliberate use of economic tools (trade controls, export controls, tariffs, fiscal carrots/sticks) for strategic foreign policy objectives; implications for supply chains and India's strategy to build "strategic indispensability"



TRENDS IN THE DOMESTIC ECONOMY

- Real GDP Growth (FY26 FAE): 7.4% (Surpassing earlier estimates).
- Fiscal Deficit (FY25): 4.8% (Target 4.9%).
- Medium-Term Potential Growth: Revised upwards to 7.0%
- Inflation: Headline inflation moderated to 1.7% (April-Dec FY26), primarily due to food price deflation.
- Forex Reserves: Sufficient to cover 11 months of imports.

Demand Side Drivers

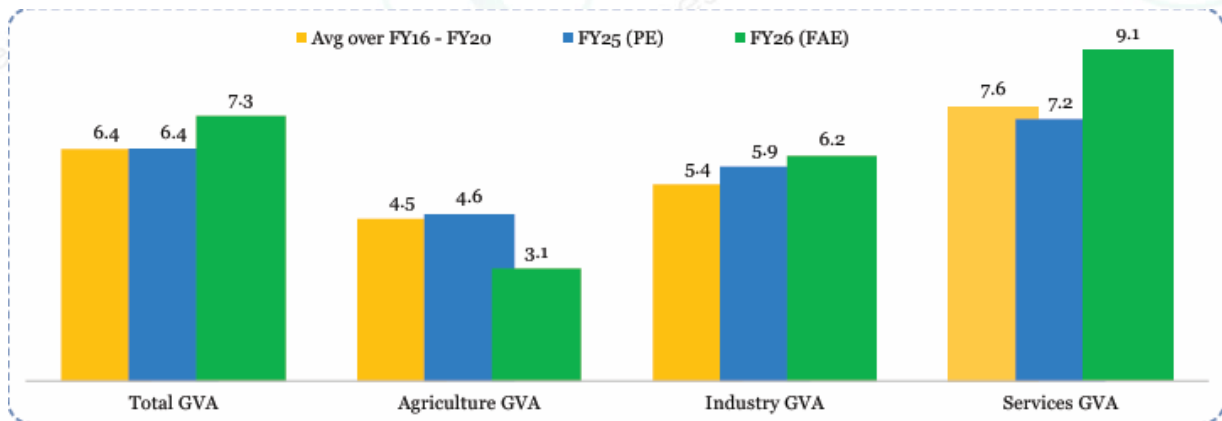


- Private Final Consumption Expenditure (PFCE):**
- Share in GDP: 61.5% (Highest since FY12).
- Growth: 7.5% in H1 FY26 (Highest since H1 FY23).

- **Gross Fixed Capital Formation (GFCF - Investment):**
- Share in GDP: 30.0%.
- Growth: 7.8% (Robust public capex + private revival).
- Exports: Share stable at 21.5% despite global headwinds.

Supply Side Drivers

- Services: Growth 9.1% (Stabilising force).
- Services exports have continued to provide a stable anchor for growth, partially offsetting the greater volatility in goods exports, amid tariff related uncertainties
- Manufacturing: Growth 7.0% (Strong rebound).
- **Agriculture: Growth 3.1% (Below long-term average of 4.5%).**



Credit ratings agency, S&P Ratings, has acknowledged the credibility of and the commitment to the fiscal glide path, while upgrading India's rating from 'BBB-' to 'BBB'. CareEdge Global, in initiating its coverage of India, too assigned a 'BBB+' rating, underscoring India's robust economic performance and fiscal discipline.

The pursuit of a diversified trade strategy, as evidenced by the signing of trade agreements with the **UK, Oman, and New Zealand and the EU**, and active negotiations with **US**, bodes well for India's exports

Nowcasting (NWC)

Nowcasting in economics is the prediction of the very recent past, the present, and the very near future state of an economic indicator.

The term is a portmanteau of "now" and "forecasting" and originates in meteorology. Typical measures used to assess the state of an economy, such as gross domestic product (GDP) or inflation, are only determined after a delay and are subject to revision.

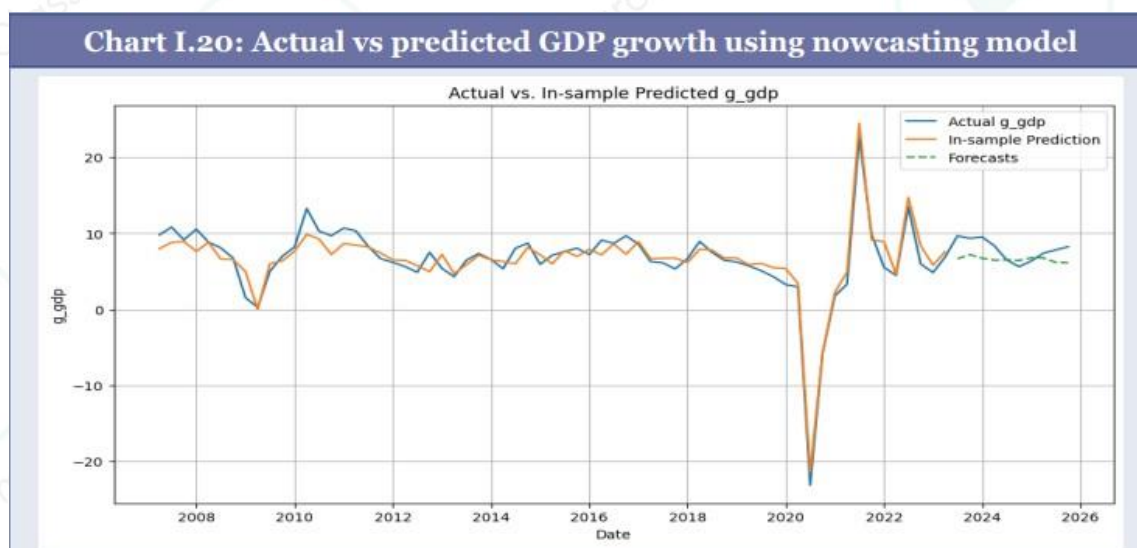
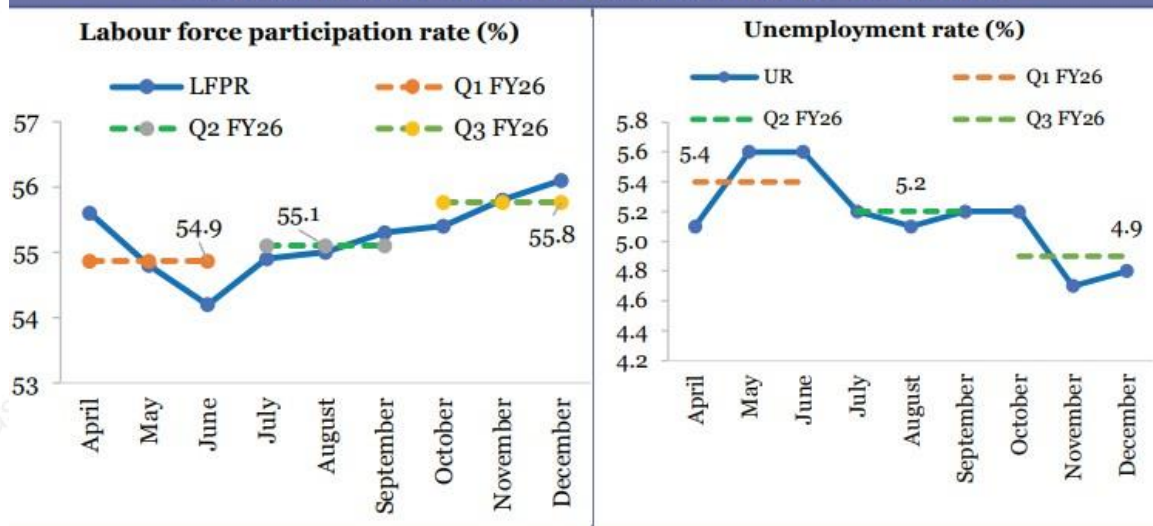


Chart I.26: Labour market dynamics for (Apr - Dec) FY26

- The union government's landmark step of notifying the implementation of the Labour Codes marks a significant reform in the regulatory framework.
- Complementing these reforms, government-led skilling initiatives have focused on enhancing employability through industry-aligned training

Fiscal Developments

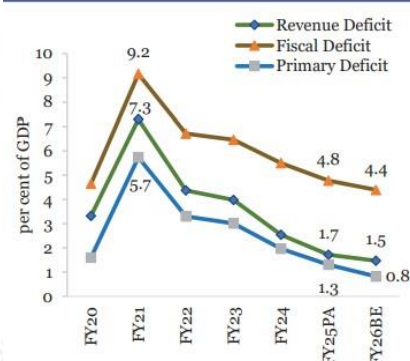
the fiscal deficit declined from 9.2 per cent of GDP in FY21 to 4.8 per cent of GDP in FY25.

Over the same period, the revenue deficit as a proportion of GDP has narrowed steadily, reaching its lowest level since FY09

NUDGE framework

Non-intrusive Usage of Data to Guide and Enable—which uses large-scale data analytics to identify potential non-compliance and prompt corrective action before formal enforcement begins.

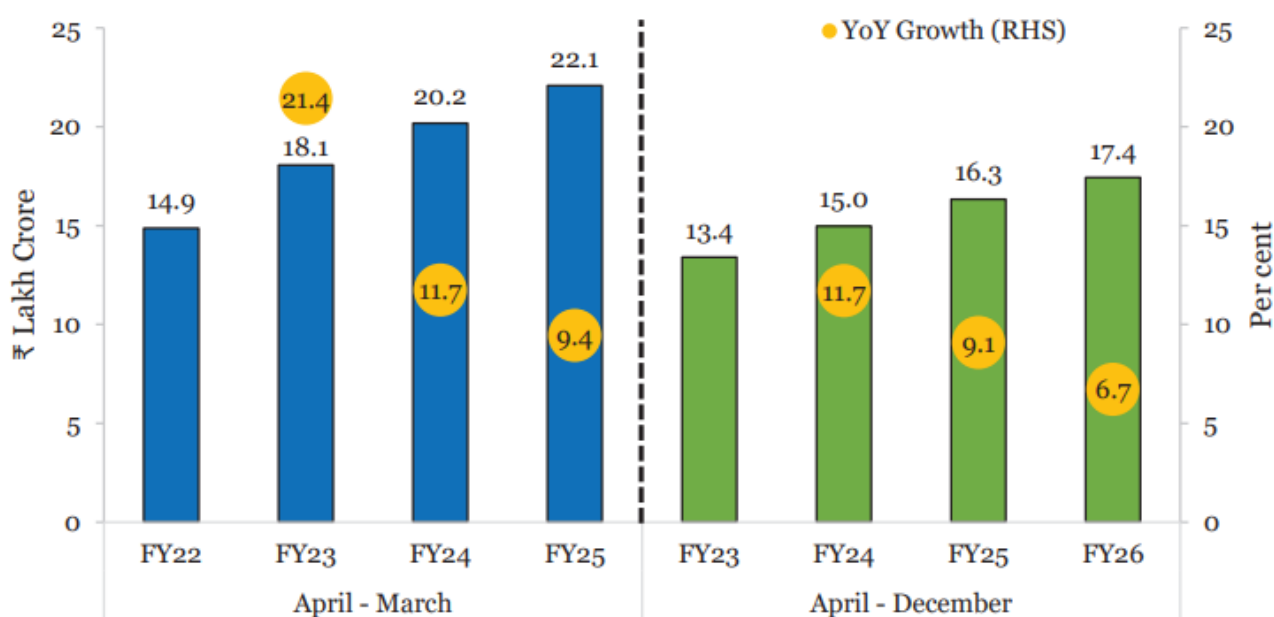
Under the Foreign Asset Campaign, nearly 25,000 taxpayers were nudged to review their returns, with over 61 per cent responding positively. This led to the declaration of foreign assets worth more than ₹29,000 crore and foreign income exceeding ₹1,000 crore, much of it through belated returns

Chart II.1: Trends in deficit indicators of the Centre

Source: Union budget documents and Controller General



Chart II.3: Gross GST collections reach all-time highs, even as the growth tracks nominal GDP growth



Source: Ministry of Finance.



GST 2.0 reforms & impact

Two-rate
Structure

18% Standard and
5% Merit

40% De-merit/
Sin-good (incl of cess)

Non-tax revenues

	FY22	FY23	FY24	FY25 PA	FY26 BE
Interest receipt	0.22	0.28	0.38	0.41	0.48
Dividends and Profits	1.61	1.00	1.71	3.08	3.25
External grants	0.01	0.02	0.01	0.01	0.01
Others	1.81	1.55	1.92	1.87	2.09
Total	3.65	2.85	4.02	5.38	5.83

The improved performance of Central Public Sector Enterprises (CPSEs) has also contributed to the growth in the Centre's non-tax revenues.

Between FY20 and FY25, the gross turnover per CPSE increased by approximately 32 per cent, while net profits and dividends per CPSE went up by 174 per cent and 69 per cent respectively.

	FY20	FY25
No. of Operating CPSEs	256	291
Total Gross Turnover (₹ lakh crore)	24.62	37.01
Net profit (₹ lakh crore)	0.93	2.91
Dividend (₹ lakh crore)	0.72	1.39

Source: Department of Public Enterprises.

Just-in-Time (JIT) Fund

Earlier, the Central Government used to send large amounts of money in advance to States and agencies for schemes.

This is called the credit-push model.

What went wrong?

- Money remained unused (idle) for long periods
- Around ₹1.6 lakh crore was lying unused under Centrally Sponsored Schemes
- Risk of diversion or misuse of funds
- Government had to borrow money at ~7% interest, while its own money was lying idle

Just-in-Time (JIT) means:

- Money is released only when it is actually needed for spending.
- This is called the debit-pull model.

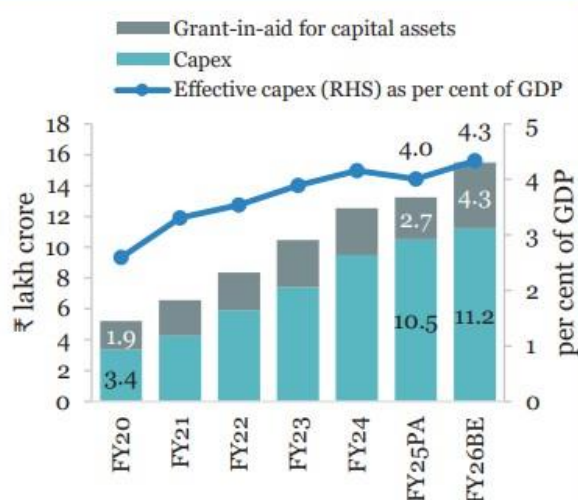
Debit-Pull Model (New System):

- First, expense happens
- Then, money is pulled from the government account
- No advance, no bulk transfers

Capital expenditure

- The Centre has progressively scaled up capital expenditure from an average of 1.7 per cent of GDP in the pre-pandemic period to an average of 2.9 per cent of GDP in the years after the pandemic.

Chart II.5: Trends in effective capex



Source: Union Budget documents, CGA and MoSPI.

Effective capex:

Capital expenditure + grants-in-aid for capital assets (gives broader measure of asset creation)

SASCI:

Special Assistance to States for Capital Investment — 50-year interest-free loans to protect state capex.

Unconditional Cash Transfers (UCTs)

- UCTs = Direct cash given to beneficiaries without any condition
- No requirement of work, school attendance, skill training, etc.
- Mostly targeted at women
- Implemented by State governments

**How big have they become?**

- Total UCT spending: ₹1.7 lakh crore (FY26)
- Number of States using UCTs increased more than 5 times from FY23 to FY26
- About half of these States are in revenue deficit

Monetary Management**Key Trends**

- Policy Rate: RBI cut repo rate by 100 bps (April-Dec 2025) to 5.25%.
- Liquidity: Injected durable liquidity via CRR cuts (100 bps to 3.0%) and OMOs.

Chart III.5: Policy corridor and call rate



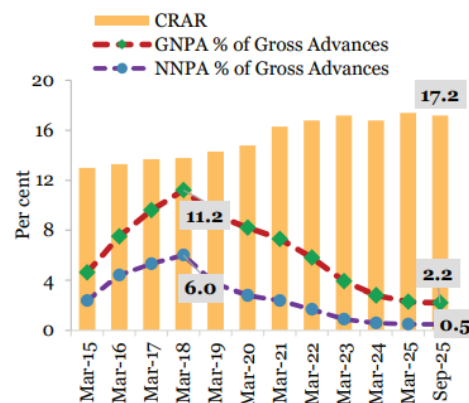
- The stability of the banking system in the country can be attributed to strong capital buffers, low non-performing asset ratios (NPAs), and increasing profitability.
- The favourable balance sheets of the SCBs bode well for the overall health of the economy.

- The public sector banks (PSBs) have launched the credit assessment model (CAM) based on the digital footprints³² for MSMEs in 2025.
- Along with improving the ease of doing business for the MSMEs, this model also integrates the credit guarantee schemes, such as the Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE).

Capital Markets

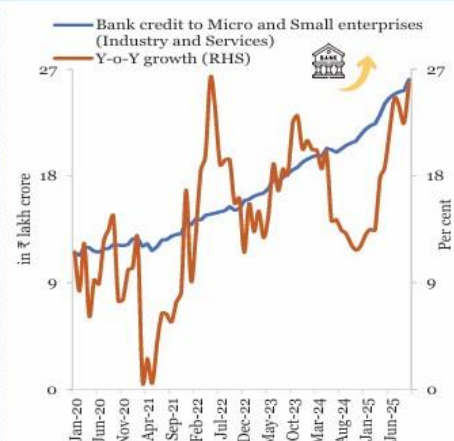
- IPO Boom: India led the world in IPOs in FY26. Total resource mobilization: ₹10.7 lakh crore.
- Retail Participation: 12 crore unique investors.
- Ownership Shift: DII share > FII share for the first time in Q2 FY26.
- GIFT City: Global Financial Centres Index Rank: 43 (Jumped 9 places).

Chart III.6: Trends in GNPA of SCBs and CRAR

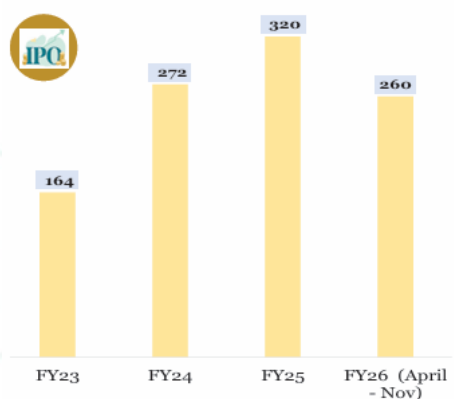


Source: RBI Financial Stability Report, various issues.

Bank credit to MSEs continues its strong upward trend



Rise in number of Initial Public Offers



Regulatory developments



Banking Sector

- RBI's Framework for Formulations of Regulations: Standardizes the regulatory process stipulating periodic review and consultation.
- RBI has consolidated over 9000 existing circulars and guidelines.
- Public Sector Banks introduced a credit assessment model to ease the doing business for MSMEs.
- RBI's FREE-AI: Structured approach for financial regulators and institutions to leverage AI while managing its risks.



Capital Markets

- The Securities Markets Code, 2025, repeals and replaces the SCRA (1956), SEBI Act (1992) and Depositories Act (1996), consolidating India's securities market laws into a single framework.
- SEBI launched investor protection tools (SEBI Check, SEBI vs SCAM), introduced an ESG debt framework, expanded municipal bond outreach, and introduced electricity derivatives.



Insurance Sector

- The Sabka Bima Sabki Raskha (Amendment of Insurance Laws) Act, 2025, was notified on 21 December 2025.
- Important provisions include higher FDI limits, simplified insurer regulations, strengthened policyholder protection and aligning insurance governance with India's digital data protection framework.

Foreign Portfolio Investment

- India's Foreign Portfolio Investment (FPI) trends in FY26 exhibit volatility.
- Overall, FPIs were net sellers of Indian securities from April to December 2025. The relative underperformance of Indian equities compared to other major markets, alongside trade and policy uncertainties, the depreciation of the Indian rupee, and a broad-based global risk-off sentiment.

Financial inclusion

- India has made significant strides in financial inclusion over the past decade. For instance, the number of adults possessing a bank account doubled between CY 2011 (35 per cent) and CY 2021 (89 per cent).



Foreign Portfolio Investment (FPI)

[ˈfɔːrən pɔːt-ɪˈfɒ-lē-, ɒ in-ˈves(t)-mənt]

Securities and other financial assets held by investors in another country.

Investopedia



Micro-Credit as a pathway to financial inclusion

PM SVANidhi : Empowering India's street vendors through micro-credit delivery**Improved quality of life**

The average annualised business income among SVANidhi borrowers increased by 20 % between 2023 and 2025.

Improved incomes have led to housing upgrades for 39% of households, better food access for 55%, more affordable healthcare for 44%, and enhanced educational opportunities for 50%.

Empowered minorities

33 % the beneficiaries are women, 64 % consist of OBCs, SCs and STs.

Healthy credit metrics

Showed strong repayment performance with the estimated NPA rate being below 10 %.

Progress in micro-credit:

Pradhan Mantri Mudra Yojana (PMMY) and Pradhan Mantri Street Vendor's Atma Nirbhar Nidhi (PM SVANidhi)

A decade of 'funding the unfunded' through PMMY

Disbursed over ₹36.18 lakh crore across 55.45 crore loan accounts. (as of October 2025)

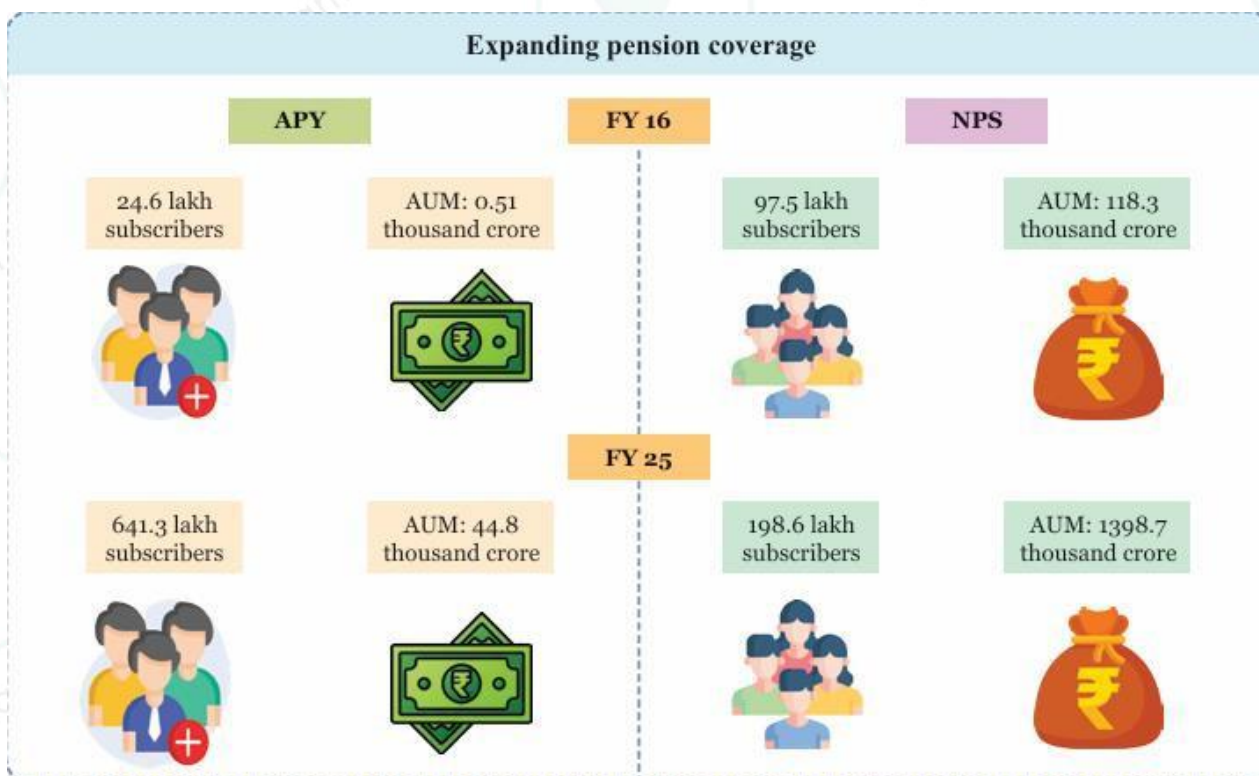
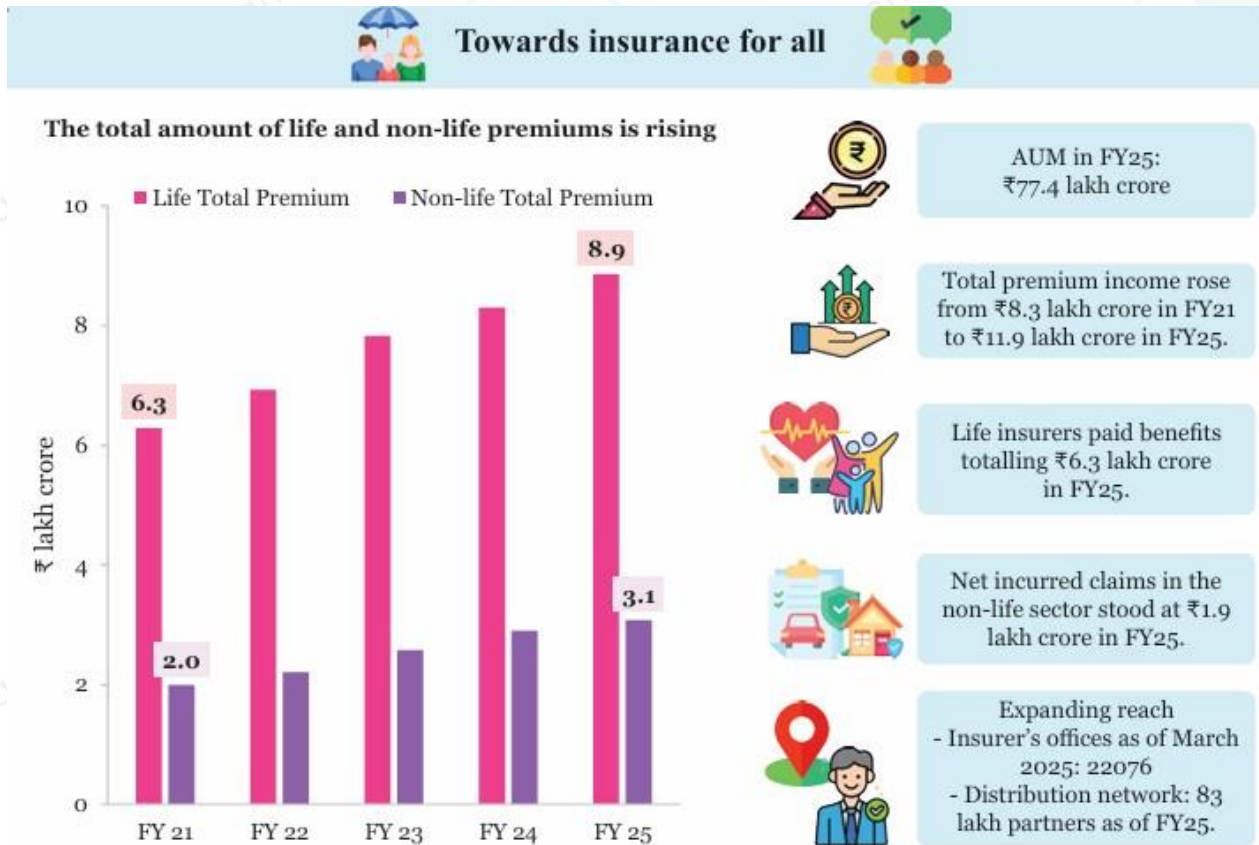
Women entrepreneurs accessed 69 % of all microloans.



₹ 15.6 lakh crore disbursed across 33.4 crore accounts of SCs, STs, OBCs and other minorities.

Performance of the pensions sector

- Between 2021 and 2036, the proportion of the old-age population (60+) in the total population is expected to increase from 10.1 per cent to 14.9 per cent.
- At the same time, the proportion of the working-age population (15-59) is projected to increase marginally from 64.2 per cent to 64.9 per cent during the same period



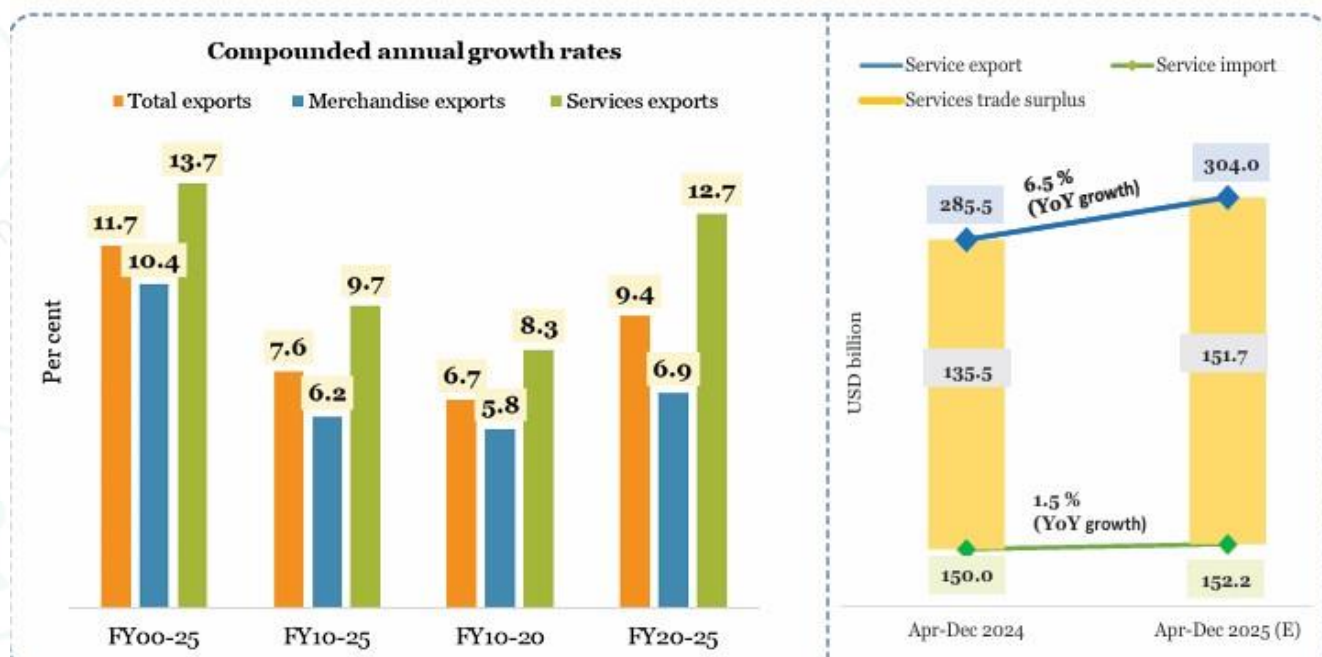
India's pension landscape features a multi-tiered system dominated by the market-linked National Pension System (NPS), the government-backed Unified Pension Scheme (UPS) launched in 2025, and other schemes like the Employees' Provident Fund (EPF) and Atal Pension Yojana (APY) for broader coverage.

EXTERNAL SECTOR

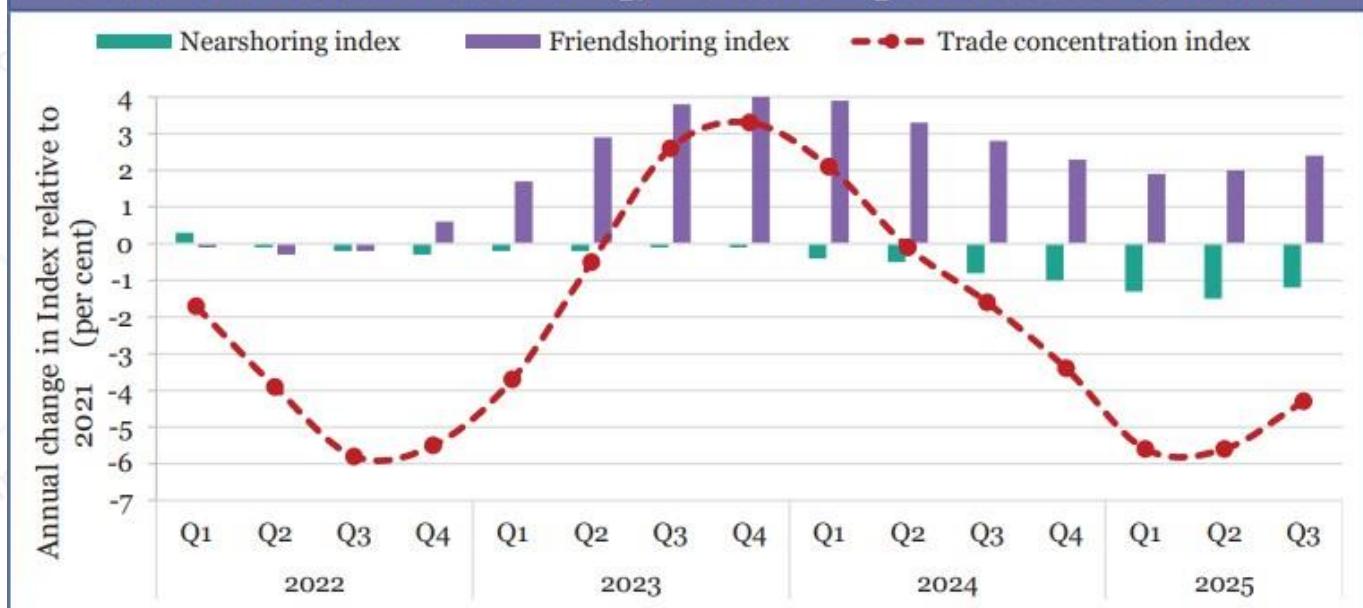
- Trade Performance
- Total Exports (FY25): Record \$825.3 billion.
- Service Exports: Share in GDP rose to 10.0%.
- Driver: IT/BPM and Global Capability Centres (GCCs).
- Shift: From "Back office" to "Strategic R&D partner".
- Current Account Deficit (CAD): 0.8% of GDP (H1 FY26). Stable.



Services trade continues to be a key driver of India's trade performance



- Services trade remains strong in FY26, with exports increasing by 6.5 per cent to USD 304.0 billion and imports increasing by 1.5 per cent to USD 152.2 billion in AprilDecember 2025.
- According to Stanford's AI Index Report 2025, the country is second globally in AI skill penetration with a score of 2.5, just behind the US at 2.6.
- Uncertainty are both economic and non-economic in nature. While industrial policies and competition for critical raw materials are driving supportive trade measures, persistent concerns over trade imbalances are simultaneously prompting corrective trade measures.
- Additionally, some nations are employing trade policy unilaterally to pursue their various domestic goals. These unilateral actions have, in turn, prompted retaliation

Chart IV.1: Trends in nearshoring, friendshoring and trade concentration**India's strategic push to expand trade partnerships****8 Free Trade Agreements and Comprehensive Partnerships Agreements concluded in the past 5 years**

India-Mauritius CECPA (2021)



India-UAE CEPA (2022)



India-Australia ECTA (2022)



India-EFTA TEPA (2024)



India-UK CETA (2025)



Yet to be implemented

India-Oman CEPA (2025)



Yet to be implemented

India-New Zealand FTA (2025)



Negotiations concluded

India - European Union FTA



Negotiations concluded

Free Trade Agreements under negotiation

India - Australia CECA



India - Sri Lanka ETCA



India- Peru FTA



India - Chile CEPA



India - USA Bilateral Trade Agreement



India - Eurasian Economic Union FTA



India - Korea CEPA

Upgraded negotiations

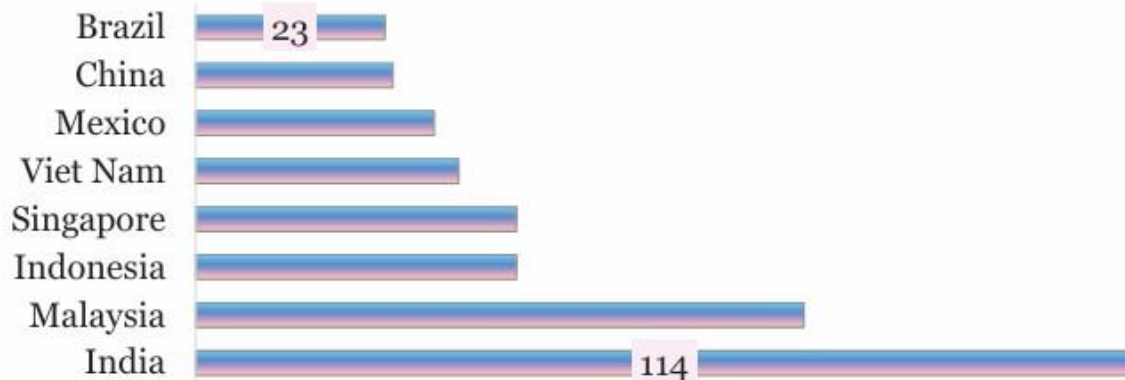


ASEAN - India (AITIGA)

Review ongoing

India leads the world in greenfield digital investment between 2020-2024

Top economies by project announcements in digital economy



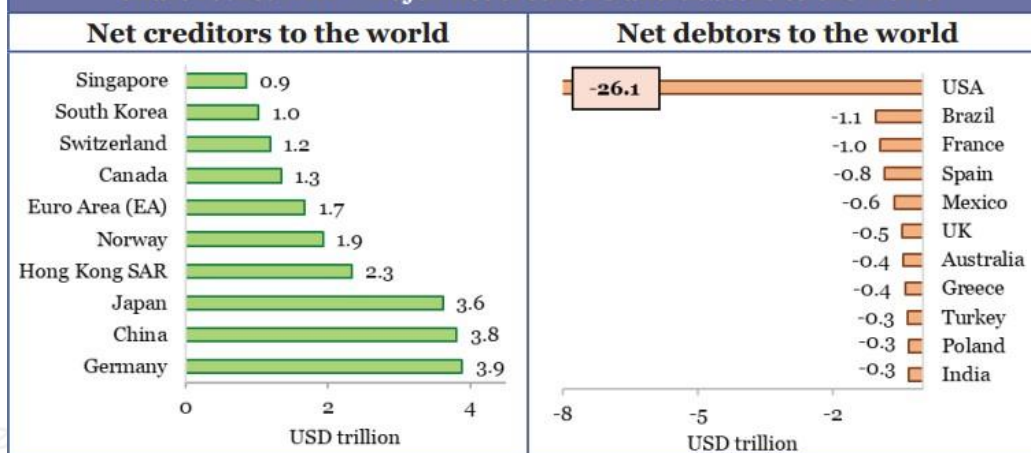
USD billion [2020-2024]

Source: UNCTAD

- India emerged as the largest destination for greenfield digital investments, attracting USD 114 billion between CY 2020-2024.
- Investments span digital services, data centres, and IT infrastructure

Foreign portfolio investments

Chart IV.26: NIIP - Major net creditors and debtors to the world



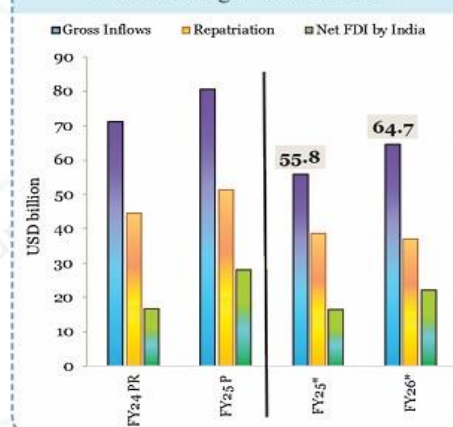
Source: IMF

Note 1: Data is as of Q2 2025

Note 2: NIIP is adjusted using the IMF accounting records

- India's FPI pattern shows recurring cycles of inflows and outflows, with significant shifts often linked to global financial changes.
- These fluctuations underscore how FPI flows, a key external capital source, also serve as channels through which global shocks can impact domestic markets.
- India historically has a net debtor status.
- In CY 2024, Germany overtook Japan to become the world's largest creditor nation for the first time in 34 years.
- US remained the world's largest debtor

India attracts gross FDI at scale



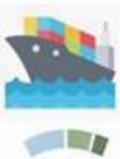
Note: *(Apr-Nov); P: Provisional; PR: Provisionally Revised

Exchange Rate Dynamics

Finding:

- **Trade Channel:** Weaker rupee significantly improves merchandise trade balance (Elasticity -1.45).
- **Financial Channel:** Weaker rupee hurts capital inflows (Elasticity+0.87).
- **Conclusion:** Trade gains outweigh financial costs. A slightly weaker rupee is net beneficial for BoP.

Strong external buffers anchor stability (FY15 vs FY25)

From FY15 → 2025-2026*	
Forex Reserves  \$341.6 bn in FY15  \$701.4 as of 16 January 2026 Reserves more than doubled	External debt to GDP  23.8% in FY15 → 19.2% end-Sept 2025 Lower external leverage
Import Cover  From 8.9 months in FY15 → To 11.1 months as of 9 January 2026 Stronger import buffer	Current Account Deficit/GDP  -1.32% in FY15 → -0.8% in H1 FY26 Improved external balance

Inflation

- Among major EMDEs, India has recorded one of the sharpest declines in headline inflation, amounting to about 1.8 percentage points.
- Importantly, this disinflation has occurred alongside robust GDP growth of 8 per cent in the H1 of FY26, underscoring India's strong macroeconomic fundamentals

Chart V. 5: Change in Inflation Rate in Major Economies (2025 over 2024)

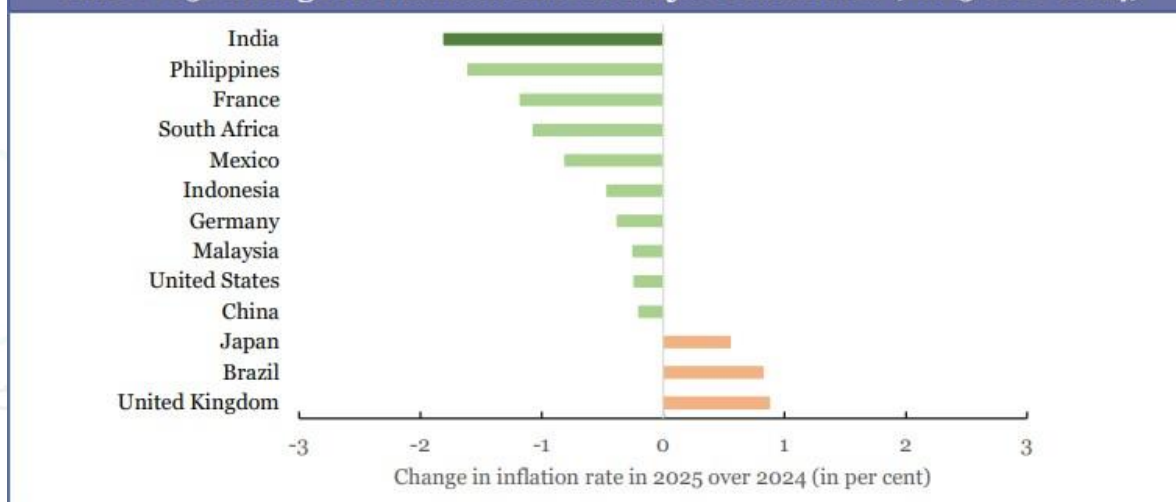
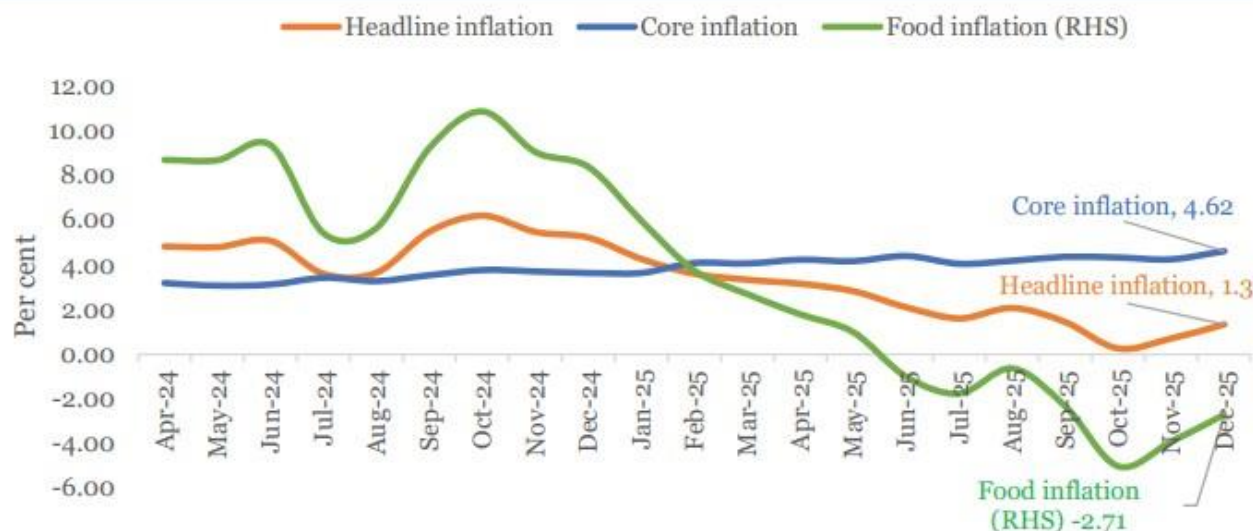
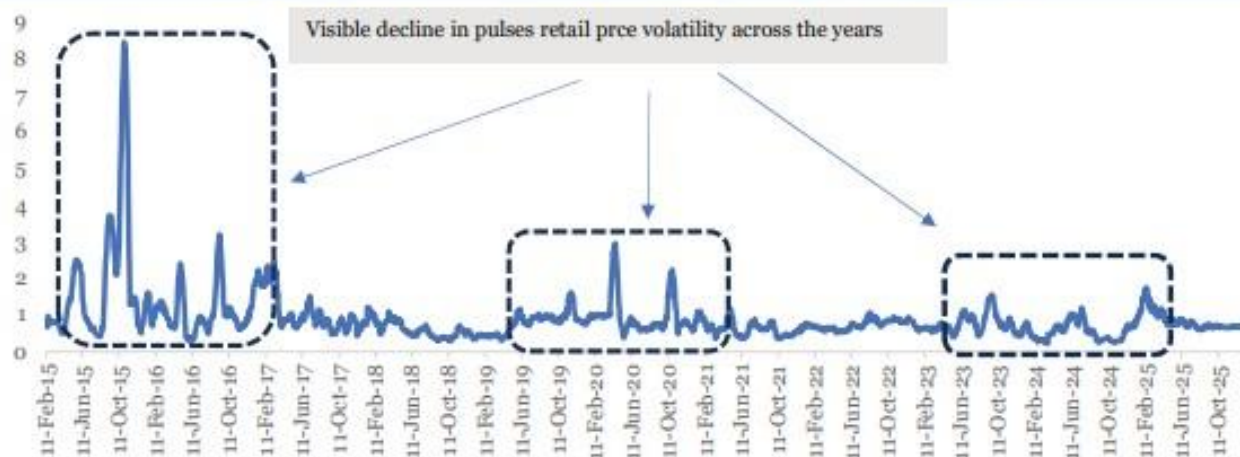


Chart V.7: Monthly CPI (Headline, Core and Food) Inflation

Source: Calculated using data from MoSPI

- Pulse prices had remained elevated for several months during 2023 and 2024, reflecting production shortfalls and low carry-forward stocks that exerted significant upward pressure on prices.
- Overall, timely trade policy decisions, strategic buffer stock management, and targeted market interventions have enabled effective management of the pulses price cycle, with retail price volatility moderating over the past decade, even in years of production shortfall.

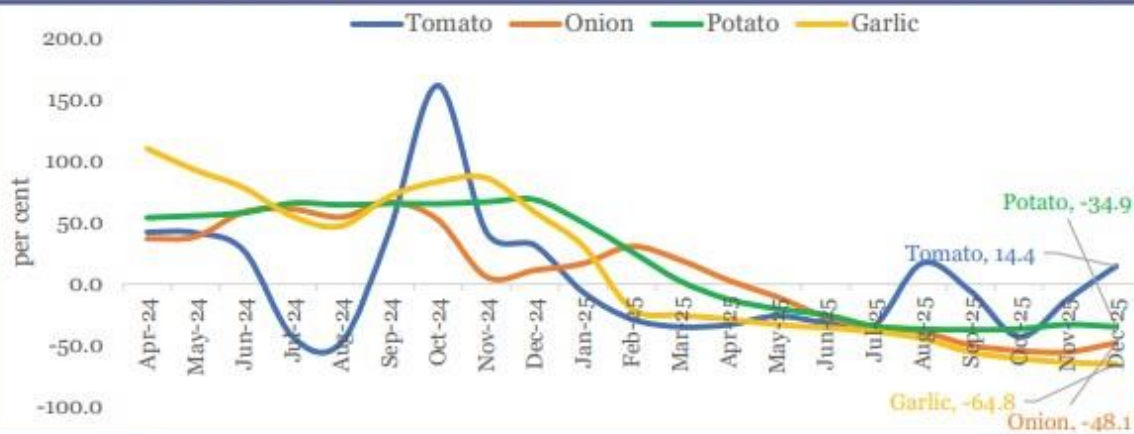
Chart V.11: Reducing Volatility in Pulses' Prices

Note: 30-day Rolling standard deviation of daily retail prices of pulses (unified price calculated basis CPI weight) from Jan.2015 to 11 Jan. 2026.

Source: Calculated from the daily data given by the Department of Consumer Affairs

- In the food basket, the prices of protein-rich food items such as eggs, meat and fish had declined for some months, but recovered soon in the later months.
- Horticultural commodities did not witness a surge in inflation during the current year; instead, their prices declined sharply.
- The contraction was particularly pronounced for potatoes, onions, tomatoes, and garlic, with price fall ranging between 20 and 40 per cent.

Chart V. 13: Components - CPI (Tomato, Onion, Potato and Garlic)



Source: MoSPI

Factors that made inflation benign



Moderate inflation in the global prices of key metals



Below-normal temperature coupled with above-normal monsoon created very favourable agriculture conditions in the country

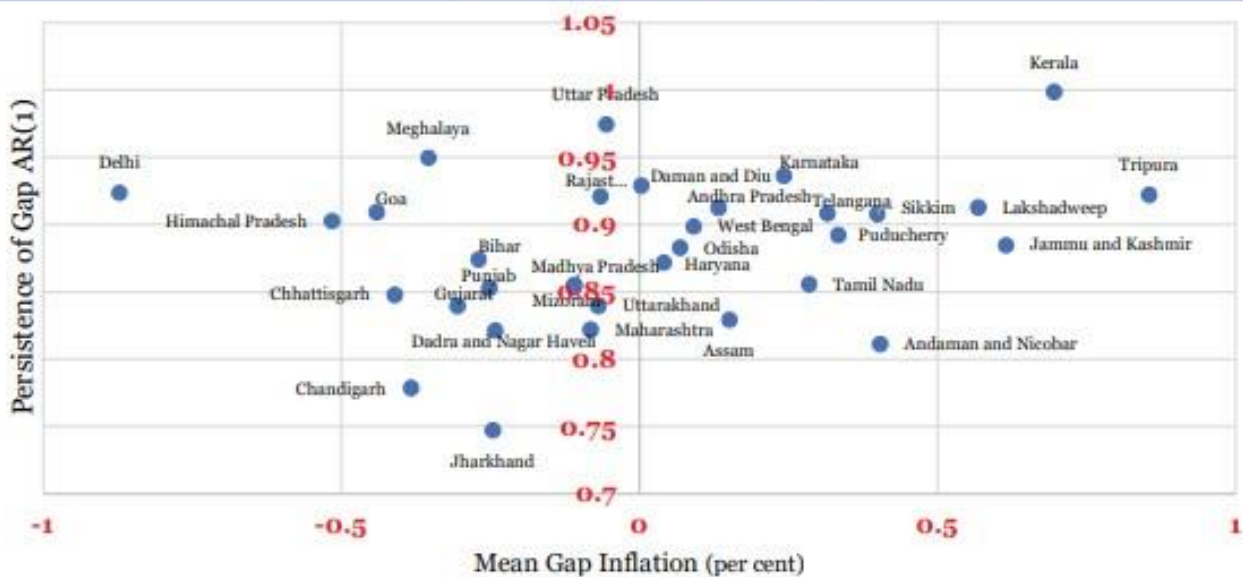


Improved stock position of foodgrains



Pass-through of GST rates rationalization into commodity prices

**Chart V. 19: State-level inflation differentials and persistence
(Jan 2014 – Dec 2025)**



Source: Internal calculations using CPI data

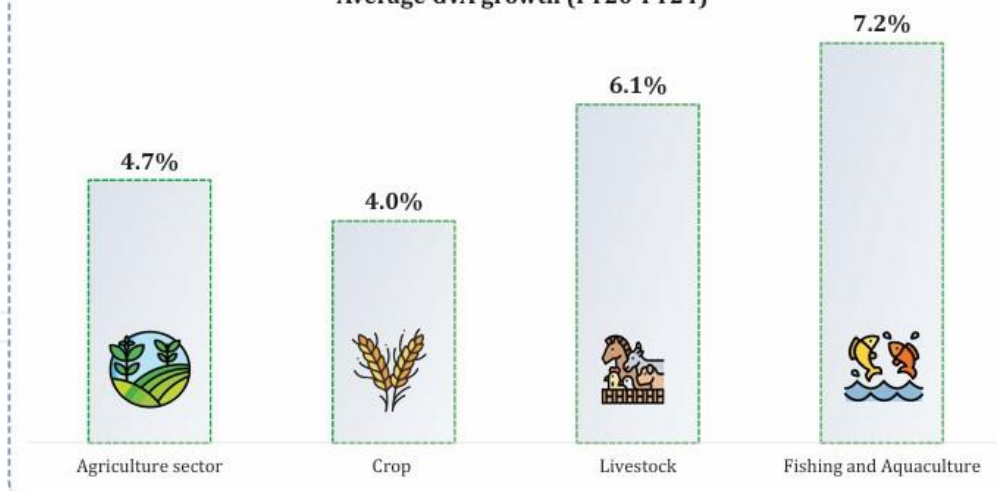
AGRICULTURE AND FOOD MANAGEMENT

- Over the last five years, the average annual growth rate in the agriculture and allied sector has been around 4.4 per cent⁴ at constant prices.
- The decadal growth of 4.45 per cent (FY16-FY25), the highest in comparison to previous decades, has primarily resulted from the strong performance in livestock (7.1 per cent) and fishing and aquaculture (8.8 per cent), followed by the crop sector at 3.5 per cent.



Diversifying Agriculture: Livestock and Fisheries Lead the Way

Average GVA growth (FY20-FY24)



State level Innovations

Land and Resource Governance: Andhra Pradesh implemented the Andhra Pradesh Resurvey Project (2021) using drones, Continuously Operating Reference Station (CORS), and GIS to issue tamper-proof digital land titles. As of 2025, 6,901 villages have been covered, with 81 lakh land parcels resurveyed and approximately 86,000 boundary disputes resolved.³⁰ Bihar launched the Mukhyamantri Samekit Chaur Vikas Yojana (2025) to develop chaur lands for aquaculture, bringing over 1,933 hectares under fish-based production across 22 districts.³²

Market Reforms: Madhya Pradesh's Souda Patrak initiative (2021) enabled direct MSP- based purchases from farmers through a digital platform, reducing mandi congestion and improving payment transparency. By December 2025, over 1.03 lakh transactions had been facilitated. Andhra Pradesh's e-Farmarket platform³⁵ connected farmers and traders via Rythu Bharosa Kendras.

Water Management: Assam State Irrigation Plan (2022)³⁶ aimed to expand irrigation coverage through new schemes and solar pumps, increasing gross irrigated area to 24.28 per cent of agricultural land by 2024-25. Uttar Pradesh Ground Water Rules (2020)³⁸ strengthened regulation of extraction, with groundwater recharge rising marginally by 2025 although extraction intensity also increased

Technology and Digital Agriculture:

Karnataka's FRUITS platform (2020) created a unified farmer database supporting DBT, MSP procurement, and crop surveys, covering over 55 lakh farmers and multiple schemes. Jharkhand launched a GIS-based Climate Smart Agriculture and Agri Stack Scheme (2024) to enable farm-level tracking and climate-informed planning, with outcome indicators still in development. Fourth Agriculture Roadmap" of Bihar(2023-28) builds on earlier roadmaps, which have already led to significant increases in fish and milk production

Policy Considerations

Ethanol Pricing and Cropping Incentives

- Careful calibration of incentives is required to avoid unintended concentration across crops.
- Ethanol expansion to be pursued that supports both energy security and food and nutritional security.

Aligning Fertiliser Use with Agronomic Needs

- Fertiliser decisions need to be guided by soil health and crop requirements
- Input Distortion to Acre-Based Support

A Calibrated Approach to Crop Diversification

- Crop choices should reflect local soil, rainfall, and market conditions, ensuring economic and agronomic viability.
- Per-acre / per-quintal incentives cover transition losses; lower input costs improve profits

Prime Minister Dhan Dhaanya Krishi Yojana

- The Government of India, in its Union Budget for 2025, announced the development of 100 Aspirational Agricultural Districts under “PM Dhan Dhaanya Krishi Yojana (PM-DDKY).57” PMMDKY was approved in July 2025 for six- years commencing with FY26, to cover 100 aspirational districts.



The Scheme aims to

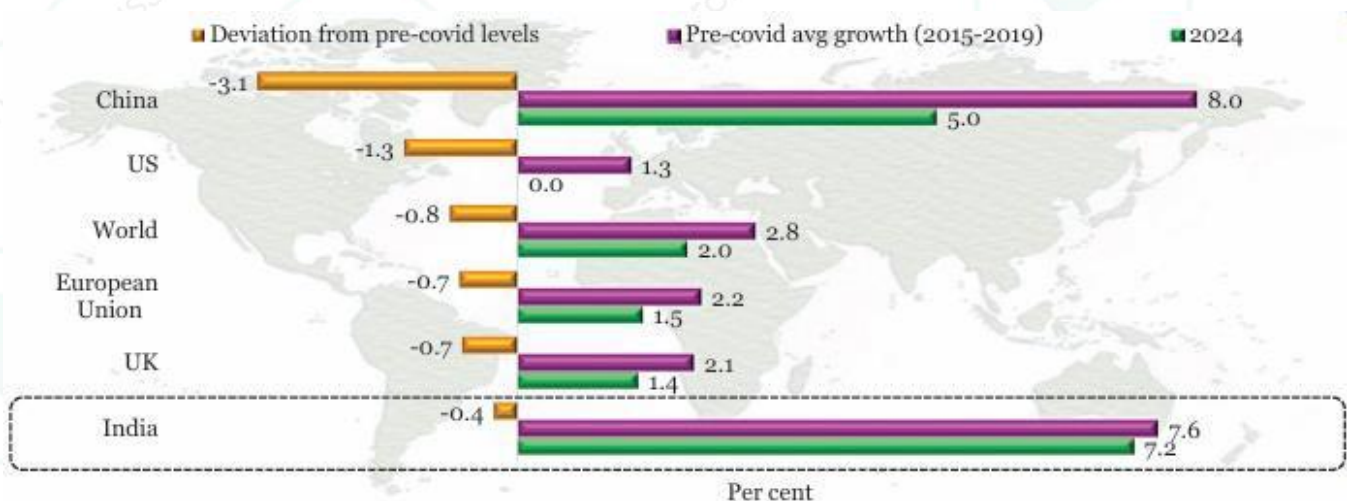
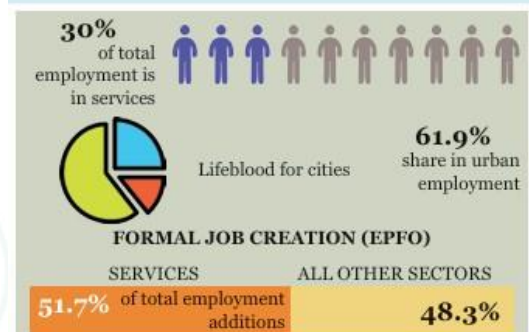
- enhance agricultural productivity,
- increase adoption of crop diversification and sustainable agricultural practices,
- augment postharvest storage at the panchayat and block levels,
- improve irrigation facilities, and
- facilitate availability of long-term and short-term credit.

The districts have been identified based on three key indicators: low productivity, low cropping intensity, and limited credit disbursement

SERVICES Sector

- India's services sector contributes more than half of the Gross Value Added and serves as a major driver of exports and employment in the country.
- The sector has recorded average annual growth of around 7-8 per cent year after year, in sharp contrast to the more pronounced cyclical fluctuations observed in agriculture and industry.

Services sector drives urban employment

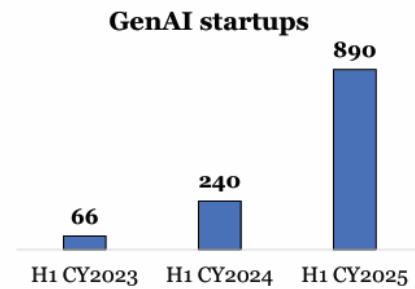


Artificial Intelligence

- Artificial intelligence (AI) is increasingly shaping global services trade, particularly digitally deliverable services.
- According to Stanford University's Artificial Intelligence Index Report 2025, India recorded the largest increase in AI talent among major economies between 2016 and 2024.
- The analysis reveals that AI-intensive services exports grew significantly faster than less AI-intensive services after the AI diffusion phase.
- Another key trend in the IT-ITeS sector is a shift towards higher-value products and capability-driven growth.
- India's technology startup ecosystem, the world's third largest, now comprises about 32,000-35,000 startups, with over 2,000 added in CY25, including over 900 funded start-ups in CY25.



India's technology startup ecosystem is world's III largest



Orange Economy

- The "Orange Economy" refers to the part of the economy driven by creativity, culture, and intellectual property, comprising activities where value comes primarily from ideas, knowledge, artistic expression, and cultural content, rather than from physical goods.

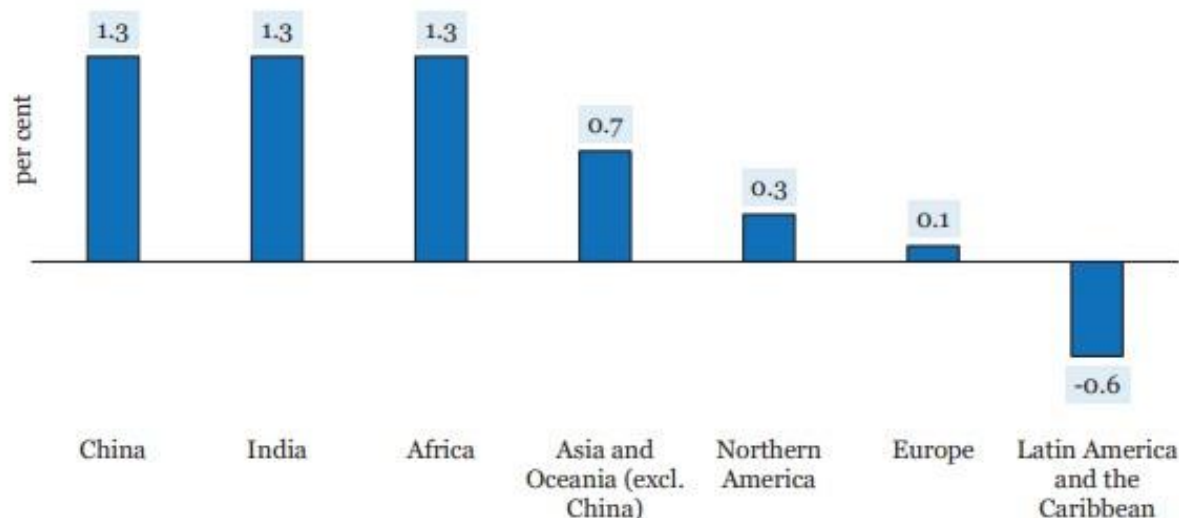


MANUFACTURING

- Though the world manufacturing output as a whole, expanded by 0.7 per cent in Q3 of 2025 (calendar year), the performance across regions remained uneven.
- Africa led manufacturing growth in Q3 2025, followed by Asia and Oceania.
- While Latin America and the Caribbean witnessed a decline, the Europe experienced stagnation.



Chart VIII.1: Quarter-on-Quarter Growth in Manufacturing Output for Q3 of 2025 (Select Countries and Regions), per cent



Source: UNIDO World Manufacturing Production and Trade- Quarterly Report, Q3 2025

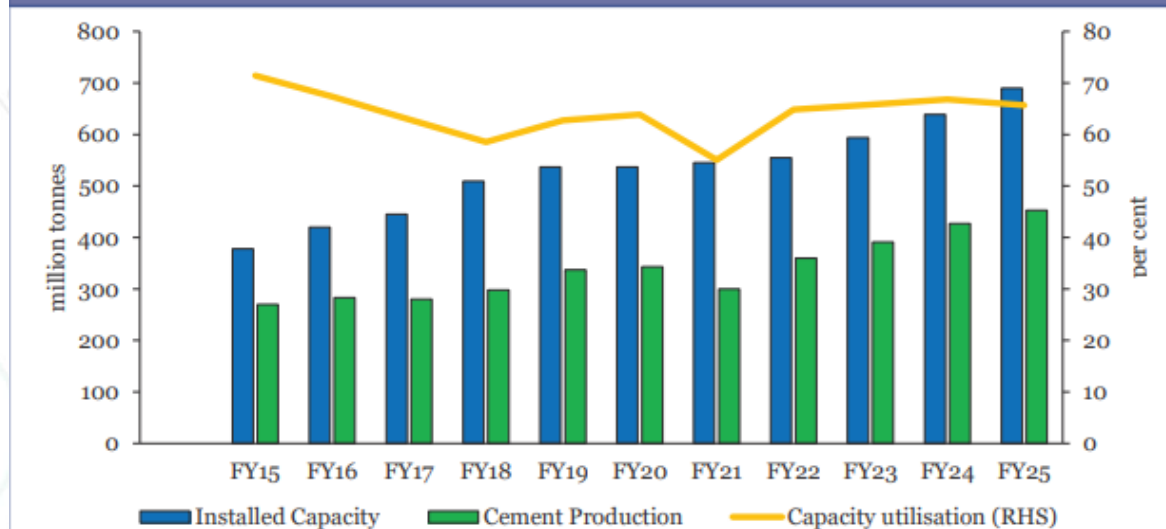
- India maintained strong industrial growth during the same period, placing it among the fastest growing industrial performers globally.
- Medium and high-technology activities now account for 46.3 per cent of India's total manufacturing value added.
- This positions India among a relatively small group of middle-income industrialising economies that are steadily moving towards sophisticated production structures.

CORE INPUT INDUSTRIES

Cement

- India is the second-largest cement producer in the world after China.

Chart VIII.7: Installed capacity, production and capacity utilisation of cement industry



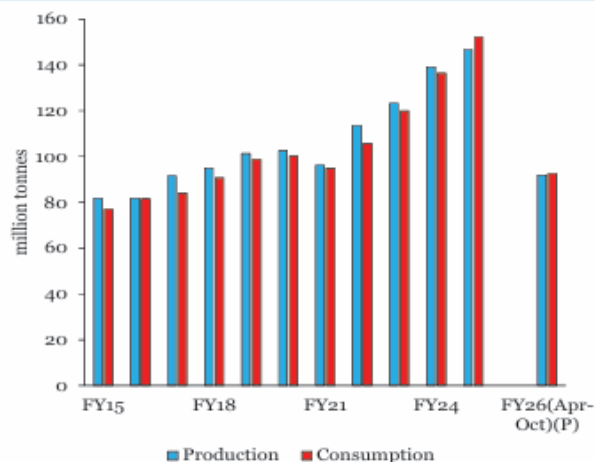
Source: Department for Promotion of Industry and Internal Trade (DPIIT).

- About 85 per cent of the cement industry is concentrated in the states of Rajasthan, Andhra Pradesh, Telangana, Karnataka, Madhya Pradesh, Gujarat, Tamil Nadu, Maharashtra, Uttar Pradesh, Chhattisgarh and West Bengal

Steel

- The steel sector serves as the backbone of industrialisation and infrastructure, securing India's position as the world's second-largest crude steel producer.
- The sector has undergone a major transformation in the last five years, largely driven by strong domestic demand from the construction and manufacturing sectors.

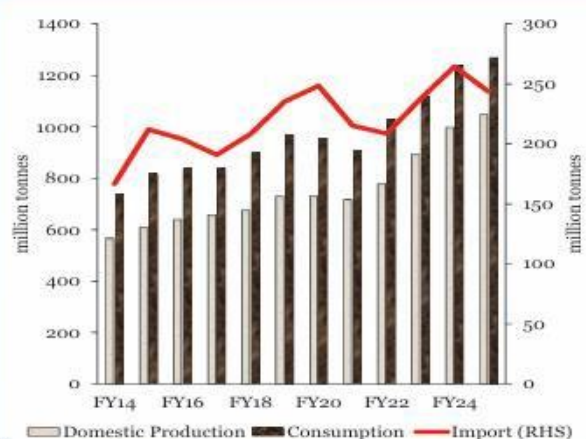
Finished Steel: Rising Production and Consumption



Coal

- With the fifth-largest coal reserves and as the second-largest consumer, coal remains crucial, contributing 55 per cent to the national energy mix and fuelling over 74 per cent of total power generation.
- India's coal industry reached historic heights in FY25, producing 1,047.52 Million Tonnes (MT) of coal—a 4.98 per cent increase from the previous year's 997.83 MT.

Coal: Rising Domestic Production and Lower Imports



Automobile

- The automotive industry is a significant driver of economic growth, with India established as the world's largest market for Two-Wheelers and Three- Wheelers and the third-largest market globally for Passenger Vehicles (PV) and Commercial Vehicles (CV)

Chart VIII.14: Production, sales and exports of automobiles

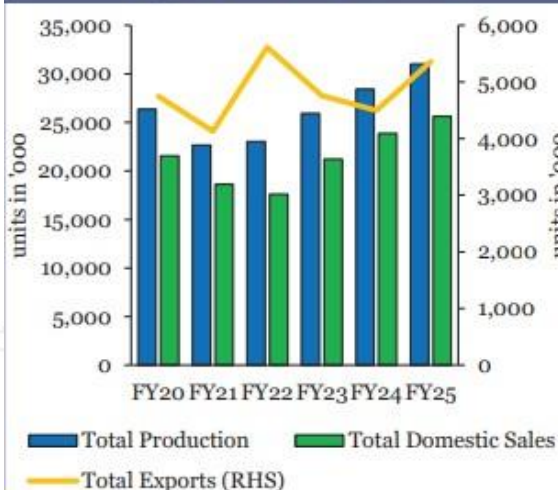
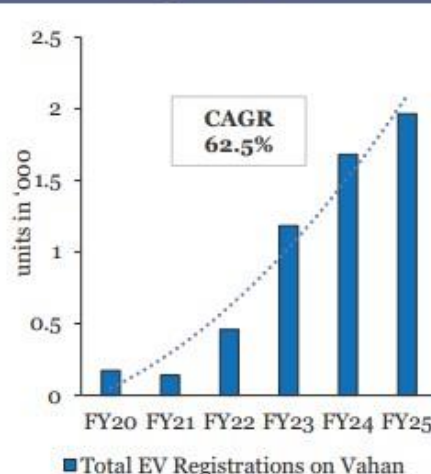


Chart VIII.15: Growing EV registrations

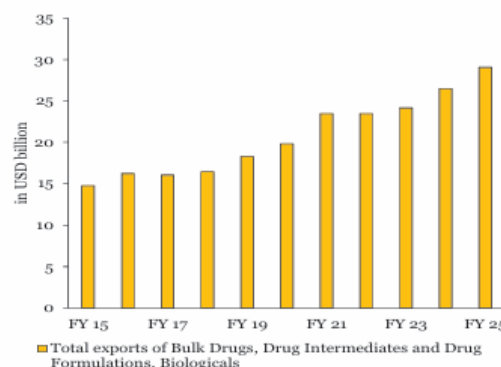


Source: SIAM; Ministry of Heavy Industries.

Pharmaceuticals

- The Indian pharmaceutical industry is the world's third- largest by volume, meeting approximately 20 per cent of global generics demand, with exports to 191 countries in FY25.
- Over 50 per cent of these exports are directed to highly regulated markets such as the United States and Europe.
- Beyond generics, India is a global leader in low-cost vaccine supply, providing a majority of the world's diphtheria, tetanus and pertussis (DPT), Bacillus Calmette- Guerin (BCG) and measles vaccines.

Growing Exports of Pharmaceutical Industry

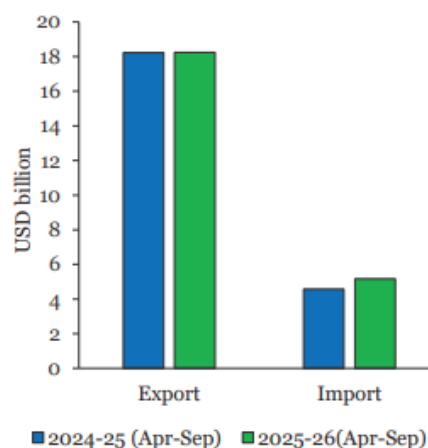


Source: Directorate General of Commercial Intelligence and Statistics.

Textiles

- India is the world's largest cultivator of cotton by acreage and the largest producer of jute, as well as the second-largest producer of silk and cotton.
- Beyond natural fibres, India is a major global hub in the man- made fibres (MMF) segment, ranking second globally, supported by large, technologically advanced manufacturing facilities.
- The country is the second-largest producer of polyester and viscose fibres.
- India is the 6th largest global exporter of textiles and apparel, with a share of about 4 per cent in world exports in this segment.

Chart VIII.18: Trade in Textiles and Apparels

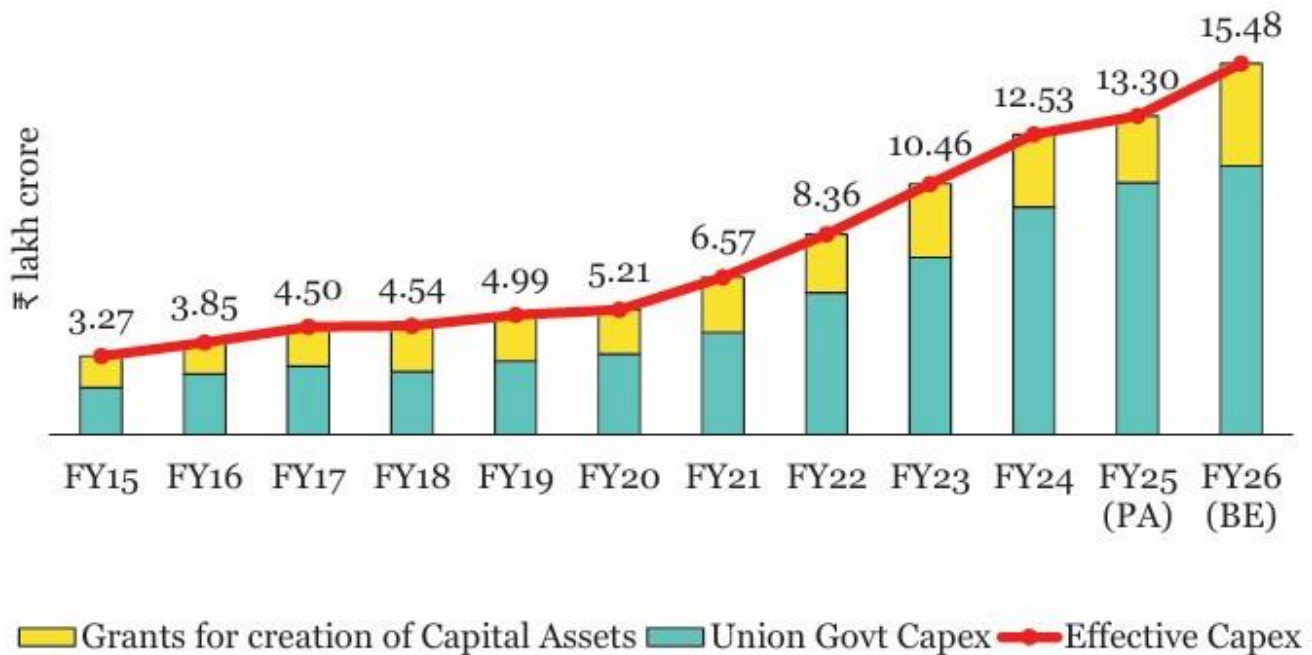


Source: Ministry of Textiles.

Investment and Infrastructure

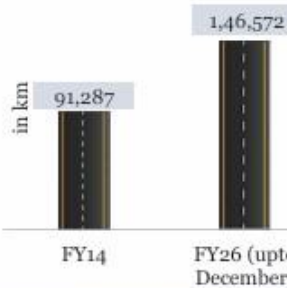
- The decisive role of infrastructure investment in India's growth strategy has been a defining feature in recent years.
- This period has been marked not just by the accelerated expansion of traditional infrastructure, such as highways, railways, ports, and energy systems, but also by the expansion of digital public infrastructure (DPI), data systems, and assets aligned with renewable energy.





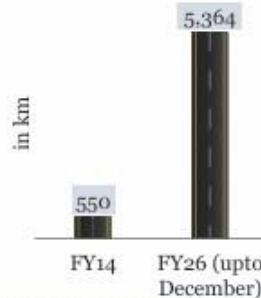
Progress in Physical connectivity

Total National Highway Network
(60 per cent increase)



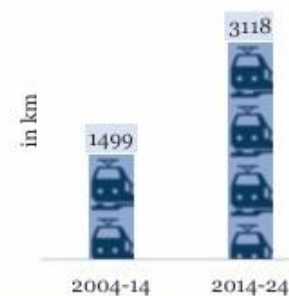
Source: Ministry of Roads, Transport & Highways.

Operational High-Speed Corridors
(~10 times increase)



Source: Ministry of Roads, Transport & Highways.

Average Commissioning of railway network per year



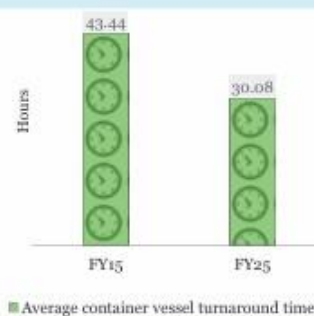
Source: Ministry of Railways.

Port Infrastructure Expansion and Record Cargo Performance

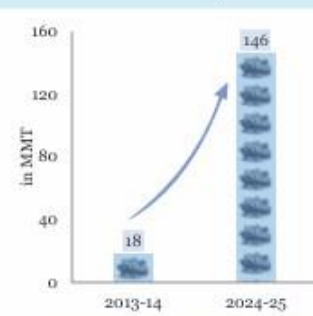


Source: Ministry of Ports, Shipping and Waterways.

Reduction in average container vessel turnaround time



Cargo movement through Inland Water Transport



SOCIAL AND EMERGING SECTOR INFRASTRUCTURE**Rural Drinking Water and Sanitation**

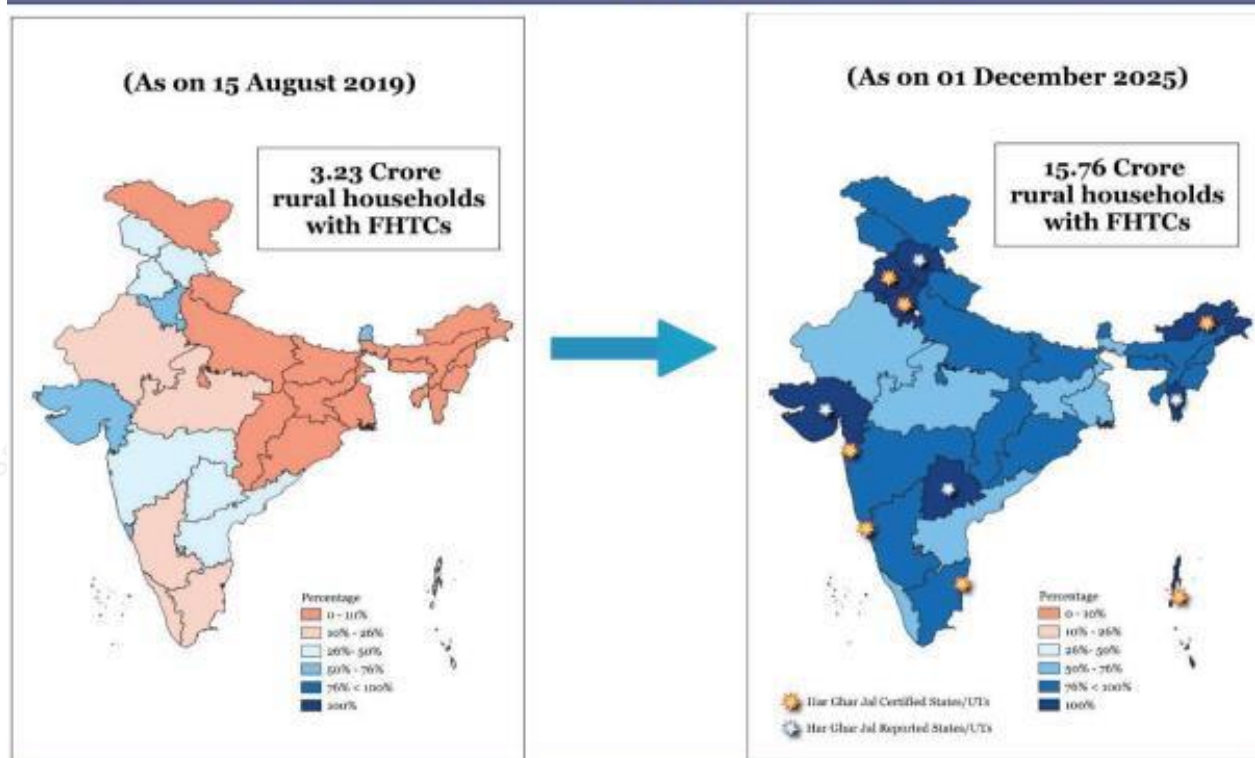
- Jal Jeevan Mission (Har Ghar Jal): India has attained a significant milestone under the Jal Jeevan Mission, with over 81 per cent of rural households now having access to clean tap water.
- The Mission, launched in 2019 and supported by an initial central outlay of ₹2,08,652 crore, has enabled States and Union Territories to implement water supply schemes, develop infrastructure, and promote efficient water management practices.



**Har Ghar Jal
Jal Jeevan Mission**

**Building Partnerships
Changing lives**

Chart IX.23: Status of tap water supply in rural homes under JJM



Source: Jal Jeevan Mission Dashboard.

*Note: FHTC- Functional Household Tap Connection

- To achieve 100 per cent coverage, the Mission has been extended until 2028 with an enhanced allocation of ₹67,000 crore in the Union Budget 2025-26.

C-Flood Platform

- Unified Inundation Forecasting System developed by Centre for Development of Advanced Computing (C-DAC) and the Central Water Commission (CWC), provides two-day advance village-level flood forecasts.
- Integrating multi-agency models, it currently monitors the Mahanadi, Godavari, and Tapi basins to mitigate disaster risks.

**Union Minister of
Jal Shakti C R Patil
inaugurates
C-FLOOD, a Unified
Inundation
Forecasting System**

ENVIRONMENT AND CLIMATE CHANGE

Solar Energy

Forty-five-fold increase - 3 GW in 2014 to nearly 135.81 GW by December 2025

On Grid

- PM Surya Ghar Mission - 8 GW of rooftop capacity installed (Dec 2025)
- PM Kusum Component C - 11,781 grid-connected solar pumps solarised, and 11,89,787 Feeder-Level Solarisation (FLS) pumps completed (Dec, 2025)
- Development of solar parks and Ultra mega solar power projects - 55 solar parks with a combined sanctioned capacity of 39,973 MW approved and 16,121 MW capacity of solar projects installed (Dec, 2025)

Off-Grid

- PM Kusum (Component B) - more than 9.75 lakh standalone pumps installed (Dec, 2025)
- New Solar Power scheme (under Pradhan Mantri Janjati Adivasi Nyaya Maha Abhiyan and Dharti Aaba Janjatiya Gram Utkarsh Abhiyan) - 6897 households have been benefitted (Dec'2025)

Enablers

- PLI Scheme for High Efficiency solar PV Modules
- CPSU Scheme Phase II - 8.2 GW of capacity sanctioned, and 5.5 GW commissioned by December 2025

Nuclear Energy Mission

- Targets 100 GWe of nuclear power capacity by 2047 through
- large reactors - indigenous 700 MWe Pressurised Heavy Water Reactors and imported reactors
- Development of Small Modular Reactors - 200 MWe Bharat Small Modular Reactor (BSMR-200) & 55 MWe SMR-55

Wind Energy

- Wind has the fourth-highest wind installed capacity in the world - 54.51 GW(Dec 2025)
- 4.74 GW was added during the April-December 2025
- 30.04 GW of projects (Wind and Wind Hybrid) are under implementation
- Wind power generated 83.35 billion units of electricity during 2024-25
- Viability Gap Funding for Off-shore Wind energy projects

Bio - Energy

- National Bio-energy Programme - renewable energy from biomass, biogas, and waste-to-energy sources, promoting efficient waste management and decentralised clean energy access
- Installed capacity of biomass power and cogeneration projects at approximately 9.82 GW (grid-connected) and 0.935 GWeq (off-grid) as of Oct, 2025
- Installed capacity of waste-to-energy projects was 309.34 MW (grid-connected) and 546.28 MWeq (off-grid) as of Oct, 2025
- Installed 51.21 lakh nos. of small Biogas plants and 361 nos. of medium-sized biogas plants (with an aggregate capacity of 11.5 MW) as of Oct, 2025

National Green Hydrogen Mission

- Targets - 5 MMT of green hydrogen annually by 2030
- Production capacity of 862,000 tonnes of green hydrogen per year allocated to 18 companies and 15 firms awarded 3,000 MW of annual electrolyser manufacturing capacity
- Three Green Hydrogen Hubs designated: Deendayal Port Authority, Gujarat; V.O. Chidambaranar Port Authority, Tamil Nadu; and Paradip Port Authority in Odisha

SHANTI Act, 2025

- The Sustainable Harnessing and Advancement of Nuclear Energy for Transforming India (SHANTI) Act, 2025.
- The Government of India had announced the Nuclear Energy Mission in the Union Budget 2025-26 and allocated ₹20,000 crore with the aim of developing at least five indigenously designed and operational small modular reactors (SMRs) by 2033.
- The SHANTI Act consolidates and modifies India's nuclear legal framework⁴³- the Atomic Energy Act, 1962, and the Civil Liability for Nuclear Damage Act, (CLNDA) 2010 to enable participation of the private sector or state governments, previously not allowed under the Atomic Energy Act, 1962.

National Nuclear Energy Mission (2025–26)



₹20,000 cr allocation in Union Budget 2025–26

- Development of 5 indigenously designed SMRs
- Target: Operational by 2033
- Focus on Energy security & clean power

8,780 MW

Current Nuclear Capacity



100 GW by 2047

Target capacity

India's Energy Storage Requirement & Policy Push



Energy storage is positioned as a key enabler for renewable integration, peak management, and long-term resource adequacy



Requirements

India will require around 411 GWh of energy storage by 2031–32



Policy Support

National Framework
for Promoting
Energy Storage
Systems

Formally recognised
under the Electricity
Rules

Included in the
Harmonised Master
List of Infrastructure

A core resource in
power system planning
under Resource
Adequacy Plans.



Critical Minerals

- Metals like Lithium, cobalt, nickel, copper, and rare earth elements have become the new strategic chokepoints in shaping the contours of a low-carbon economy, influencing energy security, industrial competitiveness, and geopolitical power, as observed through several trade restrictions on export of critical minerals by source countries.
- Copper, in particular, is becoming a highly price-volatile metal due to a number of factors. These include a series of mine outages in Indonesia, Congo, and Chile rising concerns of a supply deficit in medium to long terms.
- The Government of India has launched the National Critical Mineral Mission (NCMM)⁷¹ as a strategic initiative to secure the supply chain of minerals essential for renewable energy and storage technologies.



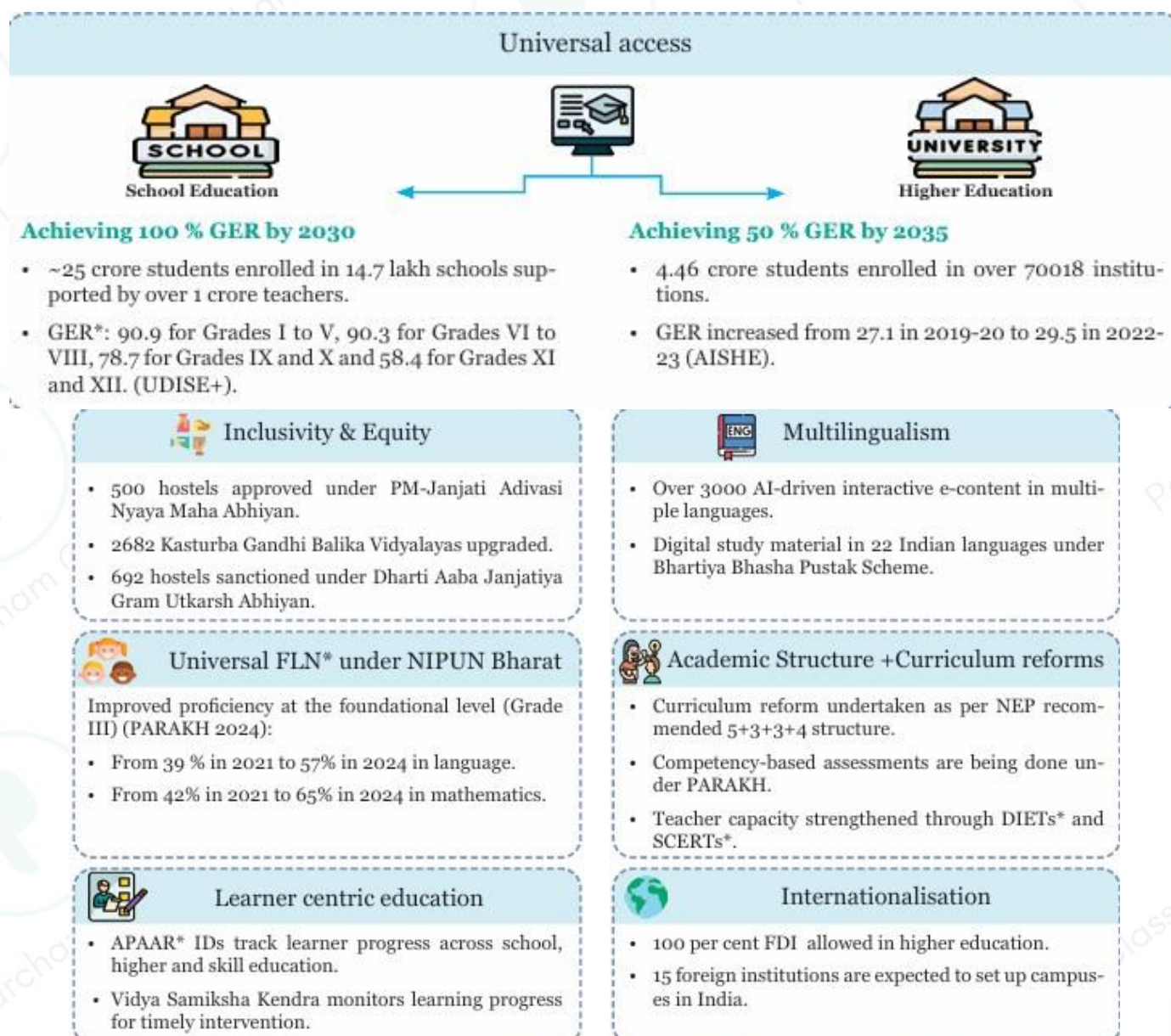
- Government's joint venture, Khanij Bidesh India Ltd. (KABIL), has acquired 15,703 hectares in Argentina for lithium mining, alongside partnerships in Australia and Chile.
- To build supply chain resilience in critical minerals, the Union Cabinet has approved a ₹1,500 crore Incentive Scheme for Promotion of Critical Mineral Recycling under NCMM.

Country	Greenium
European Union	~2 bps, stable
United Kingdom	Small but positive, episodic
France	~2–5 bps, consistent
India	Intermittent, 0–6 bps
Emerging Markets (general)	Weak or absent

Greenium

- It refers to the extra price investors are willing to pay (or lower interest rate the government can borrow at) for green bonds compared to normal (conventional) government bonds of the same maturity.
- Cross-country experience shows that greenium outcomes depend less on investor intent alone and more on market design, liquidity, credibility, and reporting frameworks.

EDUCATION & HEALTH



Multilingual textbooks

- **Jaadui Pitara:** Collection of 53 Learning Teaching Materials (toys, games, puzzles, story cards, etc.) for children aged 3-8 years.
- **e-Jaadui Pitara:** Provides interactive content in multiple languages with AI-driven bots. It features over 3,000 e-contents and is accessible via the eJaadui Pitara webpage and mobile app.
- **'Kitab Ek Padhe Anek':** Eight textbooks for Grades I & II in an energised printed format, following the principle of UDL (Univoreal Design for Learning).
- **Bharitya Bhasha Pustak Scheme:** Textbooks and study materials being offered for schools and higher education in 22 Indian languages in digital form.

Country	Per cent share of 3-18 aged population, 2024	HDI: Education Index (2025)	Projected per cent share of 3-18 aged population, 2047	EYS
India	26.94	0.372	20.14	13.0
China	18.78	0.626	10.44	15.5
Russia	18.97	0.768	15.72	13.2
Brazil	21.59	0.611	16.39	15.8
Japan	13.19	0.805	11.87	15.5
Germany	14.92	0.922	13.76	17.3
Indonesia	26.55	0.575	21.11	13.3
USA	19.39	0.882	17.14	15.9

Source: UN Population and UNDP, Human Development Report (2025)

Government Initiatives towards a healthier lifestyle



Awareness initiatives for tackling obesity

- Eat right camapign
- 10% reduction in oil consumption
- Khelo India and Fit India Movement
- Aaj se Thoda kam Campaign
- Stop Obesity & Fight Obesity Campaign



Technology driven initiatives

- Centre of Excellence for AI driven reforms at AIIMS Delhi, AIIMS Rishikesh & PGIMER, Chandigarh
- Clinical decision support system integrated with e-Sanjeevani.
- AI-based diabetic retinopathy screening.
- 14.32 crore beneficiaries registered under U-Win portal.



Mental health: Combating digital addiction

- Safe Internet Guidelines for schools
- Pragyatah Framework for screen-time planning for digital education
- NCPCR* guidelines on screen-time limits and online safety
- Online Gaming Regulation Act, 2025
- Tele-MANAS* (14416): 24x7 national mental health helpline
- Specialised treatment: SHUT* Clinic, NIMHANS



Infrastructure strengthening



1.8+ lakh Ayushman Arogya Mandir operational with footfall of 506.50 crore.



Nearly 3.78 lakh human resources provided to states.



42.78 crore Ayushman Bharat cards generated.

Employment

- The labour markets in India are undergoing significant structural transformations driven by digitalisation, green energy transition, and emerging forms of employment such as gig and platform work.
- Recent government initiatives aimed at promoting labour-intensive sectors and strengthening skill development underscore this renewed commitment to quality employment and human capital enhancement.

Labour Codes: Balancing worker protection and flexibility

29 labour laws consolidated into 4 labour codes, enacted on 21 November 2025.

Code on wages,
2019.

Code on Social
Security, 2020.

Industrial Rela-
tions Code, 2020.

Occupational Safety, Health and
Working Conditions Code, 2020.



Boost to formalisation

- Recognition of fixed-term employment (FTE) as formal engagement.
- Equal benefits for FTE and contract workers
- Mandatory employment letter for all.



Enhanced Social Security

- Portability of benefits via Universal Account Number.
- Formal recognition of gig workers.



Female participation

- Provision of creches and enabling night shifts.
- Expansion of maternity benefit.
- Flexible work provisions.
- Work across all establishments.



Growth in income

- Introduction of a statutory National floor wage.
- Ensuring equal pay for equal work.



Ease of doing business

- 'Inspector' role shifts to 'Inspector-cum-Facilitator' under Code on Wages, 2019, focusing on guidance.
- Introduction of Single Registration, Single Return, and Single License for businesses.



Employment expansion

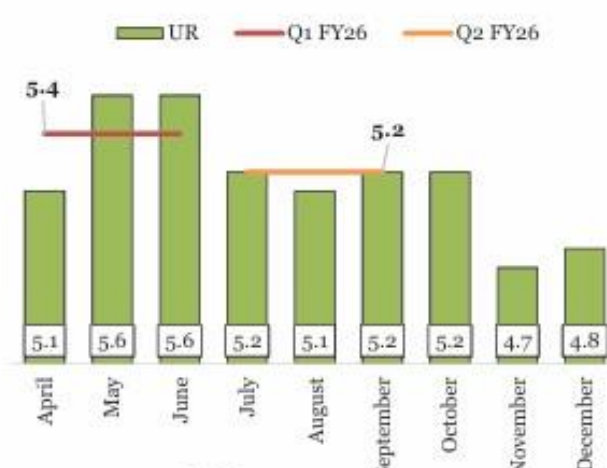
- Higher layoff, retrenchment and closure thresholds to discourage firms from staying small.
- Provision of direct hiring and FTE to boost training and hiring.

Labour market dynamics for FY26

Labour force participation rate (%)



Unemployment rate (%)



Source: Monthly and Quarterly PLFS Bulletin

Increase in female labour force participation rate

2017-18



23.3%



2023-24



41.7%

Source: Annual PLFS report 2023-24

A fall in female unemployment rate

2017-18



5.6%



2023-24



3.2%



Flexible work structure

- Code on Social Security, 2020 (CSS) provides for flexible work models and gender-responsive work standards.



Affordable housing

- Sakhi Niwas, Ministry of Women & Child Development.
- Thozhi hostel, Tamil Nadu



Public-private partnership

Innovative models to enhance private participation

- Telangana's WE-Hub
- Maharashtra's Mahila Arthik Vikas Mahamandal
- Kerala's Kudumbashree



Skill development

- Aligning skilling with industry demand.
- Enhancing STEM enrolment.
- Initiatives such as 'Back to Work' and 'Returnship' programme.



Enhanced urban mobility

Extending safety infrastructure

- Kochi's Women Police Control Room
- Hyderabad's SHE Team.
- Chennai's inclusive street design manual
- Bhubaneswar's Janpath Street



Removal of statutory restrictions

- 17 States/UTs removed prohibitions on women's employment in hazardous industries.
- 22 States/UTs permit night work for women in factories.
- 33 States/UTs allow night work in commercial establishments.

Female participation

	Regular wage/ Salaried	Casual	Self-employed	Gig/ platform worker	Fixed-term/ Contract Workers
Employer-worker connection	Direct (Bipartite)	Direct	No employer	Via digital platform (Tripartite)	Bipartite or Tripartite
Nature of work	Ongoing	Casual/Seasonal	Ongoing	Task Based	Ongoing
Payment	Fixed	Daily	Profits	Task based	Fixed
Work location	Specific	Specific	Self-determined	Self-determined	Specific
Hours	Fixed	Demand based	Self-determined	Self-determined	Fixed
Social Security	Yes	Not covered	Not covered	Not covered	Mixed
Leave	Paid Leave	No paid leave	Self-determined	No formal paid leave	Mixed

Rural Development

